

everything we do eases our customers' experience," says Batra.

Towards that end, in the last year or so, the bank has eliminated 80 variants of credit cards. In mortgage, it has discontinued 60 variants, and in savings accounts, it knocked off some 20 variants. "The leadership has reiterated many times: If you believe the customer profile or the counterparty is not right, step back," says a bank employee.

The retail business, with a 55% share in the loan book, continued to be a key driver of growth in financial year 2023-24, as the bank pursued a strategy of building a diversified and granular loan portfolio.

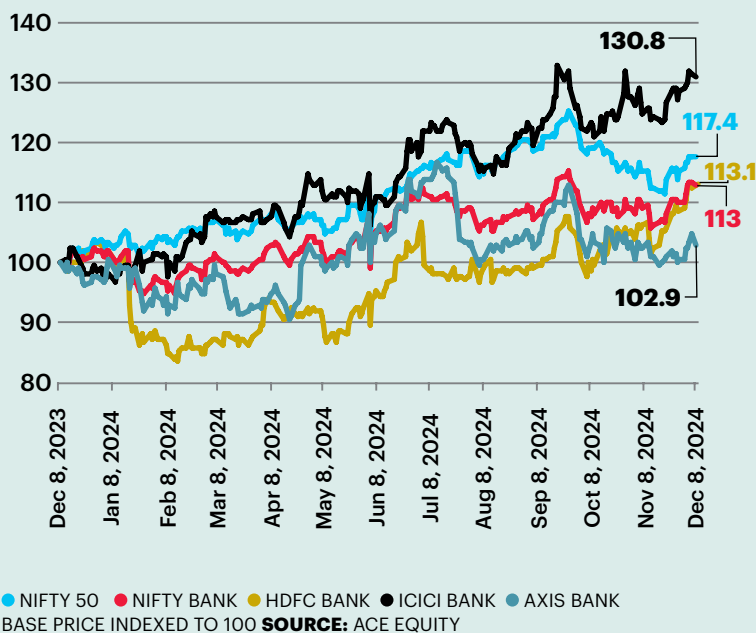
In the current year, the bank has extended its iLens platform for mortgages to personal loan and education loan offerings. iLens, created in November 2022, is a digitised mortgage lending platform for seamless onboarding of customers without the physical movement of paper. In order to capture the growing opportunities in the rural market, the bank has also merged retail and rural business groups within one structure. The rural portfolio currently accounts for less than 10% of its advances.

On the corporate side, the bank's approach is centred on building meaningful and holistic relationships with clients. "Our aim is to evaluate the entire cash flow of our customers and leverage the full strength of the bank to meet their needs. It's not just about assisting with one aspect of their business, but about becoming a true partner in their growth journey," says Batra.

It's not just employees and customers who seem to be benefiting; even investors are reaping the rewards of the bank's strong

OUTPERFORMER

► From December 8, 2023, ICICI Bank's stock price has increased 31% ► It has outperformed both the benchmark NSE Nifty 50 and the Nifty Bank indices



performance. ICICI Bank has been an outperformer on the stock market, delivering 40% returns between November 2023 and October 2024—outperforming key benchmarks like the NSE Nifty 50 and Nifty Bank indices. Investors and analysts remain bullish on ICICI Bank due to its consistent growth, profitability, and efficient management. Its price-to-book ratio of 3.51 times surpasses that of major competitors like HDFC Bank and Axis Bank.

"The bank has taken various steps to improve the way it was underwriting and sourcing its portfolio in terms of customer segments," says Upadhyay of Asit C Mehta. Its key challenges are those

that confront the banking sector as a whole, she says. "Net interest margin compression is seen throughout the sector, mainly due to lower CASA and higher cost of funds. This, however, is a systemic issue and isn't specific to the bank."

As Bakhshi continues in this third term, set to end in October 2026, the bank remains focussed on delivering to its customers. As it navigates the headwinds facing the sector, the bank is firmly focussing on customer service and building values within the bank rather than looking solely at short-term outcomes. **BT**

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